

Form No.HCJD/C-121
ORDER SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Custom Reference No. 18 of 2016

Muhammad Riaz
vs
Collector of Customs & 2 others

S.No. of Order/ Proceeding	Date of order/ proceeding	Order with signature of Judge and that of parties or counsel where necessary
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12.03.2019	Mr. Muhammad Akram Nizami, Advocate for applicant. Mr. Nadeem Mehmood Mian, Advocate for respondents.
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Through this Custom Reference, filed under Section 196 of the Customs Act, 1969 (“Act”), the petitioner has called in question the judgment dated 25.03.2016 passed by Customs Appellate Tribunal, Bench-II, Lahore, (“Tribunal”) whereby appeal filed by the applicant was dismissed.

2. Brief facts of the case are that staff of Customs ASO, Lahore intercepted a Toyota Hilux Surf bearing registration No.LU-360, engine No.IKZ-0032926. The applicant/driver of the said vehicle was asked to produce the documents regarding legal import or lawful possession and proof regarding payment of customs duty and taxes leviable on the said vehicle, but he failed to do so. Consequently, the vehicle was seized under section 168 of the Act being liable to confiscation under Section 156(1) Clause 89 of the Act after serving notice under section 171 of the Act. During the course of investigation the Motor Registration Authority, Islamabad did not reply to the investigating agency about

the documents relating to registration of the afore referred vehicle, however, on the basis of chemical report obtained from Forensic Science Laboratory that chassis number was found to have been tempered with/self-punched, the petitioner was charged under Section 2(s) and 16 of the Act read with section 3(1) of the Imports and Exports (Control) Act, 1950 and was called upon to explain through show cause notice dated 04.08.2014 as to why the seized vehicle may not be confiscated under clause (89) of section 156(1) of the Act read with section 3(3) of the Imports & Exports (Control) Act, 1950. The adjudication proceedings culminated into passing of order dated 01.12.2014 regarding confiscation of the said vehicle by Deputy Collector (Adjudication). The appeal filed by the petitioner was dismissed by the Commissioner (Appeals) on 10.03.2015 and appeal before the Tribunal was also dismissed on 25.03.2016. Feeling aggrieved of the said judgment, instant custom reference has been filed.

3. Learned counsel for the applicant has argued that the impugned judgment clearly mentions that a letter was written to Motor Registration Authority, Islamabad to provide documents on the basis of which registration No. LU-360 was allocated to the vehicle but the department proceeded against the applicant without waiting for the said document merely basing its decision on the chemical report of Forensic Science Laboratory and without determining the fact that in view of Section 168(2) of the Act, the department was required to return the seized goods to the applicant in case show cause notice in respect of seizure is not given within two months.

4. Confronted with the above, learned Legal Advisor for respondent-department, despite arguments at some length, failed to rebut that the impugned order lacks valid lawful reasons and does not cover all aspects of the matter.

5. Arguments heard. Available record perused.

6. It is an admitted fact that the respondent department had written a letter to Motor Registration Authority, Islamabad to provide documents on the basis of which the vehicle was registered but instead of waiting for the reply, relied upon report of Forensic Science Laboratory wherein it was mentioned that the chassis number has been tempered with/self-punched. The applicant has placed copies of the registration documents obtained from Motor Registration Authority on record and claims the same to be genuine. It appears that the matter has been decided in a hasty manner without assigning any reason for not waiting for reply to their letter and taking into consideration the registration documents, therefore, in our considered view, learned Appellate Tribunal has not dilated upon the vital aspect, referred supra, which is not a proper exercise of jurisdiction within the contemplation of law laid down by the Hon'ble Supreme Court of Pakistan in case titled Commissioner of Income Tax, Companies Zone-II, Karachi v. Messrs Sindh Engineering (Pvt.) Limited, Karachi (2002 SCMR 527 = 2002 PTD 419). The relevant portion of said judgment is reproduced hereunder:-

*10. As it has been pointed out hereinabove that Income Tax Appellate Tribunal had not independently assigned any

reason in holding that respondent organization was a public company because it has based its finding on some earlier decision referred to hereinabove and we were not aware that what reasons prevailed upon learned Tribunal while deciding those cases. Thus in such-like situation it was obligatory upon the Tribunal either to have disclosed the facts as well as reasons of earlier case on which reliance was placed or the respondent's case should have been examined independently. As such, we are of the opinion that the Income Tax Appellate Tribunal did not exercise its jurisdiction in accordance with law. Therefore, question of non-exercising of jurisdiction properly by the Tribunal, being a question of law, was liable to be answered by the High Court in its appellate jurisdiction under section 136 (2) of the Ordinance but it failed to do so."

7. The Appellate Tribunal has also not considered and decided the ground raised by the petitioner that in view of Section 168(2) of the Act, in case of failure to give show cause notice within two months from the date of seizure, the goods shall be returned to the person from whose possession the same were seized. Even otherwise, impugned order has been passed in violation of the Section 24-A of the General Clauses Act, 1897, inasmuch as it lacks valid lawful reasons. It is now well-settled that an order passed by judicial or quasi-judicial authority, has to be supported by lawful reasons.

8. In view of the above, impugned order dated 25.03.2016 is *set aside*, and the matter is *remanded* back to learned Appellate Tribunal for re-adjudicating the same through a speaking order, after providing opportunity of being heard to both the parties, preferably within a period of *sixty days* from the date of receipt of certified copy of this order.

9. The instant Reference Application is disposed of accordingly.

10. Office shall send a copy of this order under seal of the Court to learned Appellate Tribunal as per Section 196(5) of the Act.

(Muhammad Sajid Mehmood Sethi) (Muzamil Akhtar Shabir)
Judge Judge